# Debates on Development and Development Processes; State and Market; Civil Society, CBOs, NGOs, SHGs, Charities, PPP and CSR

**TGPSC Group I | Paper III | Unit III | Topic 4 | Expanded draft | 31 October 2026**

**ACADEMIC STATUS: NOT APPROVED.** All 30 MCQs and six mains questions are original practice material. No verified official PYQ is claimed. This manuscript has undergone structural and internal source checks, not a full subject-expert audit.

**Study route:** syllabus map → detailed concept chapters → diagrams and tables → standalone quick revision → explained MCQs → structured mains practice → evidence register.

## Syllabus map and topic summary

**Official syllabus item:** Paper III, Unit III (Governance), item 4: “Debates on Development and Development Processes; State and Provision of Services; State and Market; Involvement of Civil Society-Community Based Organizations (CBOs) and NGOs; Self- Help Groups, (SHGs), Charities and Stakeholders, Public-Private Partnerships (PPP); Corporate Social Responsibility.” The quoted wording is reproduced in public syllabus listings and cross-checked against the indexed TGPSC notification; the official notification PDF was identified but could not be fully downloaded in this run. See evidence register [S01–S02].

| Exact syllabus phrase | Dedicated textbook sections | Exam-ready application |
|---|---|---|
| Debates on development and development processes | 1, 2, 13 | Growth vs capability, distribution, sustainability, agency |
| State and provision of services | 3, 4 | Public goods, rights, accountability, fiscal federalism |
| State and market | 5, 6 | Market failures, regulation, competition, public procurement |
| Civil society, CBOs and NGOs | 7, 8, 9 | Participation, registration, representation, FCRA and accountability |
| Self-help groups | 10 | Savings, federations, bank linkage, Telangana SERP/MEPMA |
| Charities and stakeholders | 9, 11 | Philanthropy, stakeholder mapping, collective action |
| Public-private partnerships | 12 | Concession, VGF, allocation of risk, value for money |
| Corporate social responsibility | 14 | Section 135, Schedule VII, two-percent rule, impact audit |

**Central argument.** Development is not the amount of infrastructure constructed or money spent. It is the sustained expansion of people's substantive opportunities, with democratic voice, fair distribution,

environmental viability and public accountability. State institutions, markets, local associations and firms have different comparative advantages. The practical governance question is not which actor should replace the others, but which combination produces accessible services, protects rights and makes failure correctable.

**Telangana thread.** Examine rural SHG federations under the Society for Elimination of Rural Poverty (SERP), urban SHGs under MEPMA, the 2025 Indira Mahila Shakti policy, local water and sanitation delivery, public transport opportunities for SHGs, Hyderabad's urban growth, and PPP/CSR decisions around peri-urban and tribal communities. Distinguish a government announcement or administrative target from independently demonstrated impact.

**Learning outcomes.** A candidate should be able to explain at least four rival theories of development; distinguish public provision from public financing and private delivery; design participatory accountability; differentiate NGOs, CBOs, SHGs and charities; identify CSR applicability thresholds; choose a defensible PPP model and its risk allocation; and write a balanced Telangana-specific 200–250-word answer.

**Status and provenance:** All MCQs and mains questions in this chapter are **original practice**, not authenticated official previous-year questions. No official PYQ is reproduced because an original question paper and question number were not established for this precise item. All content remains **academically unapproved**.

## 1. What counts as development? Growth, capabilities, redistribution and sustainability

### A concept with competing standards

Economic growth is an increase in real output, normally measured by inflation-adjusted GDP or GSDP. Development is broader: it concerns whether people live longer, learn, enjoy secure livelihoods, exercise choices and have effective voice over decisions affecting them. The distinction matters because a fast-growing Hyderabad services economy can coexist with informal settlements, unreliable water, unprotected platform workers and educational inequalities. Conversely, improved immunisation or girls' school completion can represent substantial development even before it appears as a dramatic increase in income. A mains answer must state **what is being measured, for whom, over what period, and with what distribution**.

The conventional modernisation perspective argues that investment, infrastructure, urbanisation, technology and structural movement from low-productivity agriculture to higher-productivity industry and services raise incomes and fiscal capacity. Its strength is recognising the productive foundation required to finance welfare. Its weakness is assuming benefits will trickle down without attention to bargaining power, ownership and unequal access. A political-economy or dependency perspective asks who controls capital, land, intellectual property and supply chains; it draws attention to extraction and regional asymmetry, but can underestimate local agency and the value of trade. The human-development and capability approach, associated with Amartya Sen, treats health, education, bodily security and freedom as ends rather than mere inputs into output. The sustainable-development approach adds intergenerational limits: a project that raises present output while destroying groundwater or raising flood exposure may reduce future welfare.

## From measurement to administrative decisions

Indicators encode political choices. Per-capita income averages conceal concentration; the Human Development Index combines health, schooling and income but does not by itself explain caste exclusion or ecological stress. Multidimensional poverty measures overlapping deprivations; the SDG framework links social, economic and environmental targets. NITI Aayog's **SDG India Index 2023–24**, published in July 2024, reports that India's composite score increased from **66 in 2020–21 to 71 in 2023–24**. These are index scores, not percentage shares of citizens who have achieved all goals. Their interpretation depends on the chosen indicators, normalisation and comparability across editions [S03].

Consider a district reporting 100% tap connections. This is an asset/output measure. Development requires testing whether water is available daily, potable, affordable, safe for women to collect and maintained after construction. Likewise, announcing new hospital beds measures capacity, whereas avoidable mortality, financial hardship and referral completion measure outcomes. Indicators must be disaggregated by rural/urban residence, gender, caste, disability and remote habitation, with privacy safeguards. Administrative dashboards are useful but cannot substitute for household verification and public hearings.

## Telangana's development dilemma

Telangana's technology and pharmaceutical clusters create skilled employment and revenue, but the gains do not automatically flow to dryland farmers, migrant workers or Scheduled Tribe habitations. A state can use growth-generated revenue to finance primary care, school quality, social protection and climate-resilient water systems. Yet poorly targeted subsidies, land-use decisions and pollution can erode that same fiscal and ecological base. The correct policy debate is not “growth versus welfare” as mutually exclusive choices; it is about **sequencing, incidence, financing and accountability**. Ask whether a programme increases the capabilities of those least able to purchase alternatives and whether its benefits survive a change of government or contractor.

## Critical appraisal and answer frame

One side prioritises efficient markets, investment and competitive cities; another prioritises redistribution, public provisioning and social rights. Each identifies a genuine failure of the other: a redistributive promise without fiscal resources is fragile, while growth without social protection can intensify exclusion. The synthesis is productive transformation constrained by rights, environmental safeguards and democratic scrutiny. In examinations, avoid treating the number of schemes or the volume of expenditure as proof of success. Connect **inputs → services → outcomes → equity → sustainability**, and mention the counterfactual: what would have happened without the intervention?

## 2. Development processes: planning, institutions, power and implementation

### Development is a process, not a one-time project

A development process begins with diagnosis, not construction. Government identifies a problem, maps affected groups, selects an instrument, finances it, procures or mobilises implementation, monitors outputs, verifies outcomes and provides correction or grievance redress. The sequence is iterative: if a tribal hamlet cannot access a health centre because transport is absent, constructing another building without staffing or referral systems may be the wrong instrument. Planning should begin with a causal theory: **which barrier is preventing the desired outcome and which institution can remove it?**

India moved from Planning Commission-led five-year plans toward NITI Aayog's cooperative-federalism and policy-support role after 2015. Yet constitutional and statutory decentralisation remains essential. Part IX and Part IX-A of the Constitution, introduced by the 73rd and 74th Amendments, recognise rural and urban local institutions. The Eleventh and Twelfth Schedules list potential subjects; they do **not automatically transfer every listed function, employee or rupee**. Actual devolution depends on state legislation, staffing, budget and administrative orders. Article 243ZD envisages district planning committees to consolidate plans of panchayats and municipalities; effective coordination is especially important where expanding urban settlements depend on surrounding villages for water, labour and land.

### Politics of who decides

Technocratic planning promises expertise, economies of scale and standardised quality. Participatory planning seeks local knowledge, legitimacy and protection against elite-defined priorities. Neither is automatically superior. A village meeting can identify a blocked drainage channel invisible to a state dashboard; the same meeting can be dominated by powerful households who silence women or tenants. An engineering design must satisfy safety standards, but residents should be able to influence route, timing, compensation and maintenance. Institutions must therefore combine **expertise, representation and contestability**.

Implementation capacity is a distinct variable. A policy may have a sound objective but fail because departmental data cannot be reconciled, a contractor is paid for incomplete work, a local body lacks engineers, or beneficiaries cannot prove eligibility. Fragmented authority creates “everyone responsible, nobody accountable” outcomes. Good programme design names a lead department, responsible field officer, timeline, funding head, service standard and appeal forum. It also budgets for operation and maintenance, not merely capital expenditure.

### Fiscal and administrative realism

States raise own taxes and receive transfers; local bodies depend on their own revenue and state/central grants. A district-level participatory plan that ignores committed salaries, debt service and maintenance obligations is a wish list. Equally, a centralised plan that ignores local taxes, informal payments and travel costs may overestimate the benefit to the poor. Compare **budgeted allocation, funds released, funds spent, physical completion and verified outcome**. These five figures are different and should never be interchanged.

For Telangana, a Gram Panchayat proposing a community water treatment system must identify whether the rural water supply agency, panchayat, contractor or village committee maintains filters,

tests water and pays for electricity. In an urban ward, drainage improvement requires coordination among municipality, utility and road authority; each agency's independent success metric can conceal a system failure. Development administration is the art of aligning these interdependencies.

### Practical evaluation

Use a simple project logic: problem definition; baseline; options and opportunity costs; equity assessment; budget and responsible agency; participation; independent quality checks; grievance resolution; ex-post learning. When discussing success, identify a credible counterfactual or at least compare pre/post trends with known confounders. A rise in school attendance after a transport subsidy may also reflect changes in school calendars or household income. Good administrators ask not only “was the project completed?” but “did the intended group gain a usable capability, at an acceptable social and fiscal cost?”

## 3. The state and provision of services: rights, public goods and delivery architecture

### Provision, financing and production are different decisions

The state can **finance** a service from taxes, **regulate** its standards, **provide** it through a government institution, or **purchase** it from a non-state provider. These functions need not reside in the same organisation. Government may finance a school meal, a women's federation may prepare it, and a school committee may monitor quality. However, outsourcing production does not outsource the state's constitutional responsibility for lawful, equitable and safe administration. An exam answer should separate who pays, who delivers, who sets standards, who verifies performance and who remedies harm.

Public goods in the strict economic sense are non-rival and non-excludable: street lighting or disease surveillance can benefit many people without being easily sold household by household. Education and clinical treatment are often merit goods with large positive spillovers and equity justifications; they are not pure public goods in the technical sense. Natural monopolies, such as piped distribution networks, can make parallel competition wasteful. Externalities, information asymmetry and unequal ability to pay justify public intervention. The state also provides collective insurance against shocks that markets may price prohibitively for the poorest.

### Rights-based versus discretionary welfare

Article 21's interpretation protects life and dignity, while Article 21A specifically provides free and compulsory education for children aged six to fourteen. Directive Principles, including Articles 38, 39, 41, 47 and 48A, shape the welfare-state vision but are generally non-justiciable by themselves. Statutory entitlements, such as those under the National Food Security Act, 2013, can create more definite administrative duties. A scheme may have changing eligibility and budgets; a right may be enforceable through statutory or constitutional procedures. Confusing the two weakens legal analysis. The state must also respect equality under Article 14 and the prohibition of discrimination under Article 15 when designing and administering benefits.

Universal provision can reduce exclusion and stigma, but it is fiscally demanding. Targeted transfers can concentrate scarce funds on vulnerable groups, but identification errors, documentation barriers and discretionary gatekeeping can deny benefits. A digital beneficiary list may remove duplicate

records while mistakenly excluding migrant households or persons with mismatched identity documents. Effective design therefore provides accessible offline alternatives, appeal, corrections and published service standards. Efficiency is not achieved by making excluded claimants invisible.

### Service-delivery chain and failure points

Take primary healthcare: finance, facility, doctor availability, drugs, diagnostics, referral transport and follow-up must all function. Counting new facilities does not show whether treatment was completed. In school education, buildings, teacher attendance, learning outcomes, disability access and safe travel form a similar chain. In municipal sanitation, collection, segregation, transport, treatment and safe disposal are interdependent; improving collection without disposal can shift pollution to another community.

Telangana examples include rural drinking-water infrastructure, urban solid-waste services and publicly supported healthcare. They should be assessed with **quality-adjusted service access**, not promotional claims. A household may have a nominal water connection but rely on private tankers in summer. The difference between an announced service and a reliable one determines trust in government and often falls disproportionately on women, who bear unpaid care and water-collection work.

### The accountability bargain

Public delivery faces absenteeism, political interference and weak procurement; private delivery faces profit incentives, cream-skimming and information asymmetry. Hybrid models add contract-management costs. No ownership form guarantees performance. The state should publish eligibility and service standards, use transparent procurement, inspect quality, fund grievance redress and allow legislative and judicial review. The most relevant question is **what governance safeguards make this arrangement serve the public purpose?**

## 4. Public services, fiscal choices and the problem of equity

### Universalism, targeting and progressive universalism

Three models often compete. Universalism gives everyone a baseline entitlement, building political support and reducing administrative exclusion. Targeting reserves resources for identified poor or vulnerable groups and may maximise immediate redistributive effect per rupee, but errors in income assessment can be severe where employment is informal. Progressive universalism guarantees a basic level to all while directing additional spending toward the most disadvantaged, for example universal school enrolment with intensive remedial support in remote tribal schools. The correct choice depends on fiscal space, stigma, administrative capacity and the cost of mistakenly excluding someone.

A benefit's **incidence** differs from its headline cost. A subsidised urban flyover may primarily benefit vehicle owners even though it is publicly funded. A primary-care facility can save poor households catastrophic spending even if its operating budget is smaller. Gender analysis asks whether a transport scheme reduces women's travel time and increases independent mobility, or simply shifts cost without addressing safety. Disability analysis asks whether the physical environment and information systems are usable, not whether a general service nominally exists.

### Subsidies and the political economy of delivery

Subsidies can address externalities, smooth income shocks and make essential services affordable. They can also be captured by better-off groups, encourage inefficient consumption or create arrears to providers. A transparent subsidy states its beneficiary, unit cost, duration, funding source and exit/review criteria. Free electricity to a class of consumers is not costless: the expense appears in government transfers, utility finances or deferred investment. A well-designed policy compares cash transfers, price subsidies and direct public provision against the objective, not ideology.

Public procurement is another distributional mechanism. Bid specifications may exclude small local enterprises even when a contract nominally promotes livelihoods. Conversely, splitting contracts excessively can sacrifice economies of scale or encourage collusion. The public authority should define service outcomes, competition safeguards, conflict-of-interest rules and independent testing. A Telangana municipal waste contract can require segregation rates and worker safety, rather than merely counting vehicles deployed. Payments should follow verified milestones and performance, with transparent deductions for failure.

### Federal and local coordination

Central schemes, state departments, district administrations and local bodies frequently share responsibility. If the state funds an asset but a municipality must maintain it without adequate own-source revenue, the apparent capital success can become an operational failure. State Finance Commissions under Article 243-I and 243-Y recommend local-government resource arrangements; their recommendations and implementation need scrutiny. A functioning Gram Sabha or ward consultation should influence priorities, but must not be a ceremonial signature exercise after the budget is finalised.

### Practical consequences

A good exam illustration is a low-income peri-urban settlement with intermittent water. One option is a capital subsidy for household connections; another is network repair and leakage reduction; a third is targeted tanker support during transition. The first can produce attractive coverage numbers while failing to solve source scarcity. A sound decision tests water quality, continuity, tariff affordability, maintenance, informal-tenure constraints and grievance data. Equity is not a footnote to delivery: it changes which engineering and fiscal option is actually rational.

## 5. State and market: coordination, competition and market failures

### Neither state nor market is a single mechanism

A market coordinates dispersed decisions through prices, contracts and competition. It can reveal demand and reward innovation, but only when consumers have meaningful choices and information, firms face entry and exit, and costs are not shifted onto others. The state sets property and contract rules, supplies public infrastructure, redistributes resources and regulates externalities. A state-owned provider can still buy inputs from markets; a private hospital can still operate under public regulation. “Privatisation” may mean asset sale, contracting, management outsourcing or user-fee recovery—very different instruments with different accountability implications.

Classic market failures include **externalities** (a factory's emissions imposed on neighbours), **public goods** (flood early warning), **natural monopoly** (water pipelines), **information asymmetry** (patients cannot fully assess treatment), **missing insurance markets** (disaster risk), and **coordination**

**failures** (industrial clusters require roads, skills and suppliers together). State failures include weak information, political capture, bureaucratic delay, soft budget constraints and corruption. The choice is between imperfect alternatives, not a perfect market and a perfect government.

## Policy instruments and their limits

Competition law addresses anticompetitive conduct; sector regulators may set tariffs, licensing and quality obligations; environmental consent and liability rules address pollution; public procurement can stimulate innovation or distort it. A subsidy to renewable energy can internalise environmental benefits, but must be periodically evaluated for cost and distribution. Price controls may protect affordability but can produce shortages if suppliers cannot recover efficient costs. Direct public provision can guarantee universal service but requires professional management and transparent budgets.

Industrial policy presents another debate. Proponents argue that public investment and targeted support can overcome coordination failures, build domestic capabilities and create jobs. Critics warn of rent-seeking, protection of inefficient firms and selection of politically connected beneficiaries. A credible industrial policy should specify time-bound performance conditions, competitive selection, export or productivity benchmarks, and independent exit decisions. The question is not whether to intervene, but whether the intervention builds capabilities that outlast the subsidy.

## Telangana illustration: growth corridors and social obligations

Telangana's urban technology economy depends on roads, electricity, skilled labour, land markets, housing and water. Private investment generates employment but can also bid up rents and intensify commuting or flood exposure. Public authorities should plan drainage and public transport before approving high-density development, enforce environmental standards and protect displaced livelihoods. Firms benefit from predictable regulation; citizens benefit when regulatory discretion is limited by public criteria and appeal.

A hypothetical public bus service illustrates the trade-off. If fares alone must cover every cost, socially important low-demand routes may disappear. If the state simply covers all losses, managers may have little incentive to improve punctuality. A service-obligation contract can reimburse verified kilometres or outcomes while retaining safety standards, transparent subsidies and performance penalties. The right contract depends on measurable quality and the public authority's capacity to enforce it.

## Critical synthesis

The state should be strong where rights, coordination and externalities require collective action; markets should be competitive where consumer choice and innovation can work; civil society should provide scrutiny and voice, not a substitute for legal responsibility. Regulatory capture and cronyism are risks at the boundary. Good governance makes the boundary visible through published contracts, beneficial-ownership checks, citizen feedback and independent audit. Development requires market-shaping capacity as well as market correction.

## 6. Public choice, regulation and the governance of mixed economies

### Why good intentions are insufficient

Public choice theory applies incentives to political and administrative decisions. Voters face information costs; politicians face election cycles; officials may prioritise budgets, status or risk avoidance; firms lobby for subsidies and favourable rules. These incentives do not prove that public institutions are inevitably corrupt. They explain why good programme design must make performance observable, prevent concentration of discretion and create channels for challenge. An apparently generous policy can transfer resources to organised groups at the expense of dispersed taxpayers or future generations.

Regulatory capture occurs when a regulator becomes overly responsive to the firms it supervises, whether through information dependence, revolving-door employment or political pressure. The converse problem is arbitrary regulation that deters legitimate investment. Independence is therefore paired with transparency: reasons for tariff orders, public consultation, conflict declarations, appeal routes and review of performance. A regulator should not merely collect licences; it should protect competition, safety, access and long-run investment incentives.

### Procurement and contract governance

When a public authority contracts a private operator, the principal–agent problem appears: the principal wants reliable service but cannot continuously observe effort or hidden quality; the agent may optimise what the contract measures. Paying a waste contractor by tonnage collected can reward unnecessary hauling rather than waste reduction. Paying solely by households covered can encourage superficial connections. Contracts should use a balanced scorecard, spot inspections, independent laboratory tests and citizen complaints, with safeguards against manipulation. Performance measures must not create perverse incentives to exclude difficult or expensive users.

Competition for a contract is not the same as competition during the contract. A water utility concession may be competitively tendered once but operate as a monopoly for decades. Therefore tariff regulation, service obligations, information rights, termination provisions and public ownership of essential assets matter after the bid. Renegotiation is sometimes justified by unforeseeable shocks; routine renegotiation to rescue a badly priced bid undermines fair competition. A robust concession allocates risks to the party best able to manage them, while keeping political and force-majeure risks explicit.

### Evidence-based reform

A district can use administrative data to detect delays, but must validate it with physical inspections and independent citizen surveys. Randomised evaluation may help compare communication or delivery options where ethical and feasible; it cannot by itself settle the values of equality, dignity or democratic control. Qualitative evidence can reveal why a scheme fails among migrant families even when average results improve. A credible reform programme publishes baseline, target, cost, implementation responsibility and periodic learning. It also protects whistle-blowers and prevents retaliation against complainants.

### Application to Telangana

In a rapidly expanding municipality, a private developer may seek a road connection while nearby low-income settlements need drainage. A regulator or planning authority must weigh network effects, flood risks, land rights and who bears future maintenance. The decision should not be reduced to the developer's investment amount. Transparent land-use maps, hearings, storm-water modelling, procurement disclosure and independent audit can reduce both state and market failure. The ultimate administrative test is whether people can contest decisions without needing personal political access.

## 7. Civil society: public sphere, advocacy and democratic accountability

### Definition and constitutional setting

Civil society refers to voluntary collective activity between the household, the state and the market: associations, unions, professional bodies, neighbourhood groups, issue-based movements, voluntary service organisations and networks. It is not identical with an NGO registered as a legal entity. A neighbourhood group may be informal; a registered society may operate mainly as a contractor; a labour union may advocate a contested interest. Article 19(1)(c) protects the right to form associations or unions, subject to constitutionally permitted restrictions. Civil society also draws on freedom of speech, assembly, equality and access to information.

Three functions are analytically distinct. **Service provision** fills delivery gaps through education, health or relief; **advocacy** changes law, budgets or social norms; **watchdog activity** exposes corruption, environmental harm and discrimination. The same organisation may perform more than one function, but conflicts can arise. An NGO dependent on a district administration for grants may hesitate to criticise its performance. A donor-funded advocacy campaign may have technical expertise yet limited democratic mandate. Transparency about funding, governance and beneficiaries helps citizens assess credibility.

### Social capital and its darker side

Associations can build trust, mutual help and collective bargaining. Women's savings groups can reduce dependence on moneylenders; disability groups can articulate accessibility needs; farmers' organisations can coordinate irrigation. But social capital may be **bonding** within an exclusive caste or neighbourhood rather than **bridging** across communities. A powerful local association may capture municipal amenities and resist facilities needed by poorer residents. Civil society is therefore neither inherently progressive nor a substitute for elected institutions. Representation must be examined: who belongs, who speaks, who sets the agenda and who can exit safely?

### State–civil society relations

Partnership is productive when government retains statutory duties, organisations contribute local knowledge and contracts specify outcomes and safeguards. Confrontation may be legitimate when citizens challenge arbitrary decisions. Governments may reasonably require financial disclosure and lawful operation, but disproportionate restrictions can weaken public scrutiny. The Foreign Contribution (Regulation) Act, 2010 regulates receipt and use of foreign contributions by specified persons and organisations; it is not a blanket ban on all voluntary activity. Domestic fundraising, registration, tax status and eligibility for foreign contribution are separate legal questions.

### Telangana applications

A tribal community organisation might document a drinking-water source threatened by a project, while an environmental group provides technical sampling and the Gram Sabha voices local priorities. A credible process discloses data, records dissent, protects participation by women and marginalised hamlets, and establishes an appeal route. In Hyderabad, resident associations can monitor lake restoration, but their preferences must be balanced against street vendors and informal workers. The examiner expects this dual view: **civil society strengthens democracy when it widens voice and accountability; it weakens it when it monopolises voice or operates without scrutiny**.

## 8. Community-based organisations: representation, participation and social audit

### CBOs are rooted in a community, but not always representative

A community-based organisation (CBO) is typically constituted by members of a defined locality or shared social group to address collective needs. Examples include village water and sanitation committees, user groups, farmers' producer collectives, forest-resource groups and neighbourhood federations. The distinction from a professional NGO is not absolute, but CBOs generally claim accountability to members, whereas NGOs may be accountable to boards, donors and beneficiaries through different channels. The central design question is whether the people bearing the costs of a decision can meaningfully influence it.

Participation has levels. **Information** tells people what is planned; **consultation** asks for views without transferring authority; **joint decision-making** gives citizens a formal role; **community control** delegates implementation or resource management. Calling a public meeting “participatory” is misleading if budgets, eligibility and contractors have already been chosen. Effective participation requires advance notice in accessible language, women-friendly timing, separate spaces where necessary, records of objections, public responses and follow-up on commitments.

### Constitutional and legal channels

The Gram Sabha under Article 243A is an institutional basis for village participation, with powers determined by state law. The 73rd and 74th Amendments created a framework for elected local government, but actual financial and functional devolution remains uneven. In Scheduled Areas, the Panchayats (Extension to Scheduled Areas) Act, 1996 (PESA) establishes special principles for Gram Sabha powers, subject to the relevant legal applicability and implementation context; do not assume every Telangana village is a PESA Scheduled Area. The Right to Information Act, 2005 enables requests for records, while programme-specific social-audit rules can provide structured public verification. An audit is not merely a survey: it compares official records with lived experience and requires an accountable response.

### Example: water committee design

Suppose a village committee monitors a new drinking-water system. It should publicly track source yield, water-quality tests, electricity bills, downtime, repairs and tariff collections. Representation should include women, Scheduled Castes, Scheduled Tribes where present, hamlets distant from the main settlement and persons with disabilities. A committee dominated by the largest habitation might choose a pipeline route that bypasses a smaller hamlet. Publishing maps and complaints, and allowing independent sampling, turns a nominal committee into a useful accountability mechanism.

### Participation failures and remedies

Elite capture is the central risk: local influence can reproduce caste, gender and property hierarchies. Tokenism occurs when signatures are collected after decisions. Meeting fatigue develops when repeated consultations do not change outcomes. Technical dependence arises when citizens cannot understand budgets or engineering designs. Remedies include quorum and inclusion rules, simplified public budgets, trained facilitators, rotation of representatives, third-party verification and time-bound written replies. Community participation should complement professional engineering and elected accountability, not absolve officials of responsibility for safety.

### Practical consequence

A successful CBO can detect failures faster than a distant department and build local ownership of maintenance. But government must still guarantee equitable service, investigate complaints and fund obligations beyond the community's capacity. In a mains answer, distinguish **voice**, **authority**, **resources** and **accountability**. An organisation with a meeting but no budget or right to inspect contracts is not empowered in the same sense as one that can approve plans and demand corrective action.

## 9. NGOs, charitable institutions and their legal-accountability framework

### Institutional forms

An NGO is a functional description, not one universal Indian legal form. Voluntary organisations may register as societies under applicable societies law, as public charitable trusts under relevant trust law, or as Section 8 companies under the Companies Act, 2013. Registration confers a particular governance and reporting framework; it does not by itself certify service quality, tax exemption, permission to receive foreign contributions or eligibility to implement CSR projects. An association can be lawful and useful while lacking a specific funding permission. The correct exam distinction is between **legal personality, charitable purpose, tax treatment, grant eligibility and foreign-funding compliance**.

A Section 8 company must pursue permitted not-for-profit objects and apply its profits to its objects, subject to the Act's requirements. Societies commonly use membership and governing bodies; trusts are administered by trustees under the governing deed and applicable law. Income-tax registrations under sections such as 12AB and donor deduction under section 80G serve distinct tax purposes and have their own conditions. The FCRA, 2010 and its rules regulate foreign contribution; the Ministry of Home Affairs' 2025 notice emphasised that receipt or use without valid registration or other lawful permission can violate the Act [S13]. A domestic charity should not be described as automatically

FCRA-registered.

### Accountability problems

NGOs may innovate where bureaucracies are slow, reach hard-to-serve populations and build trust. Yet dependence on donors can shift priorities toward easily measured projects rather than community-defined needs. Small organisations may lack internal controls, and larger ones may develop managerial distance from beneficiaries. The answer is proportionate accountability: audited accounts, conflict-of-interest declarations, safeguarding of children and vulnerable adults, transparent grievance processes, accessible programme results and independent evaluations. Compliance should be sufficient to prevent misuse without imposing costs that only large organisations can bear.

### Service contractor versus rights advocate

An NGO implementing a government-funded training programme is accountable for contract deliverables, while an advocacy organisation may legitimately criticise that programme. The state should avoid selecting only organisations that endorse its policies. At the same time, an NGO claiming to represent an entire district should disclose how it gathered consent or evidence. It may speak for a cause without holding an electoral mandate from every affected person. Responsible public administration invites diverse voices, including dissenting associations, and documents reasons for accepting or rejecting proposals.

### Telangana scenario

Suppose a Hyderabad-based charity proposes digital-skills training for women in a remote district. A sound partnership tests language accessibility, travel safety, device availability, childcare needs and whether local employers actually offer jobs. Training completion certificates are outputs; income, safe employment and sustained access are outcomes. If the charity receives CSR funding, eligibility and reporting under CSR rules are additional to its organisational registration. If it receives foreign contribution, FCRA compliance must be separately checked. Multiple funding streams require transparent accounting and avoidance of double-counting beneficiaries.

### Balanced conclusion

NGOs are useful because they can experiment, mobilise trust and scrutinise power. They are not inherently more efficient or more representative than government. Good governance preserves the state's duty to guarantee rights, the organisation's freedom to operate lawfully and the public's ability to see where money went and what changed. In an exam, mention the **risk of both excessive state control and unaccountable private philanthropy**.

## 10. Self-help groups: savings, federations, enterprise and women's agency

### How SHGs work

A self-help group (SHG) is a small, usually affinity-based group whose members save regularly, maintain records, extend internal loans and develop collective capacity to access formal finance and livelihood opportunities. The financial mechanism matters: repeated meetings and transparent accounts can build credit history and peer monitoring, reducing the information and transaction costs that deter banks from serving low-income borrowers. The group is not a bank; loans may come from members' pooled savings, bank linkage or specialised institutions. Group liability and social pressure can support repayment but may also impose stress on vulnerable members.

India's SHG–Bank Linkage Programme has been promoted by NABARD, while DAY-NRLM supports rural women's institutions and livelihoods through federated community structures. SHGs may federate into village organisations, mandal or block-level bodies and higher-tier associations to negotiate services, training and markets. Telangana's **SERP** works with rural women's groups; **MEPMA** addresses urban poverty and women's groups. The two should not be confused. A state district page reports a rural federation architecture of SHGs, village organisations and mandal-level associations, but such administrative figures require a reference date and should not be treated as independently audited impacts [S07].

### Beyond microcredit

Credit alone does not guarantee empowerment. If a loan finances household consumption without stable income, repayment can be burdensome. Enterprise development needs market research, quality certification, working capital, bookkeeping, cold chain or logistics, digital payments, safe transport and bargaining power. SHG procurement opportunities must be commercially viable: buying a bus is not the same as earning a sustainable return after lease terms, maintenance, insurance and loan servicing. Social empowerment is a separate outcome: whether women control income, move safely, participate in Gram Sabhas and can challenge domestic violence or discriminatory practices.

### Telangana's 2025 policy shift

The Telangana government's **Indira Mahila Shakti Policy, announced 8 March 2025**, explicitly sought to move SHGs beyond thrift and bank linkage toward microenterprises and wealth creation. Official state pages describe more than 63 lakh women in rural and urban SHG networks; this is a policy-document administrative figure, not an independently verified count of active enterprises [S05–S06]. In June 2026, the Telangana government reported flagging off **553 SHG-owned buses** for operation by the state road transport corporation and announced plans for more. These are dated government claims about a programme and its intended scale; they do not establish profitability for each SHG [S08].

### Governance risks and remedies

Group records may be controlled by a small leadership circle; caste or religion may affect membership; poorer women may be excluded because they cannot save regularly; bank officers may prioritise repayment over livelihood viability. Transparent elections, member-accessible passbooks, grievance procedures, social inclusion, training and independent financial literacy can reduce these risks. Evaluation should report not only total loans sanctioned but **median net enterprise earnings, loan distress, decision-making autonomy and inclusion of the poorest women**.

### Application to a mains answer

An SHG's comparative advantage is social organisation and local information; its limitation is capital, market access and uneven power relations. A strong policy links the group to infrastructure, reliable procurement, childcare and social rights without converting it into an unpaid arm of the state. The aim is not merely more groups on a dashboard, but members who can exercise economic and civic agency.

## 11. Charities, stakeholders and collective-action governance

### Charities and philanthropy are not identical to public policy

Charitable giving can mobilise flexible resources for relief, experimentation, scholarships and community institutions. Its strength is speed and willingness to finance problems that formal budgets neglect. Its weakness is donor discretion: philanthropists are not elected to determine a district's priorities, and projects may depend on personalities or short funding cycles. Corporate philanthropy, individual giving, religious charity and community mutual aid differ in funding sources, accountability and permissible purposes. A charity may run a hospital or school, but it does not acquire the state's constitutional responsibilities simply by delivering a service.

An ethical funding relationship requires transparent objectives, safeguarding, non-discrimination and credible evidence of benefit. If a donor finances a new diagnostic machine but no recurring maintenance or technicians, the gift may become a stranded asset. If donations concentrate on visible urban facilities while remote communities lack basic services, philanthropic preferences can reinforce spatial inequality. Government should coordinate complementary investments without surrendering public priority-setting to donors.

### Stakeholder analysis as an administrative method

A stakeholder is a person or institution that affects or is affected by a policy. The list extends beyond funders and contractors to residents, frontline workers, elected local bodies, women, children, persons with disabilities, informal workers, future users and ecosystems. Stakeholder mapping typically assesses **interest, influence, vulnerability and legitimacy**. A contractor has high implementation influence but does not represent all users. A displaced tenant may have little formal power but a high stake in land acquisition. Treating influence as the only criterion would reproduce existing inequalities.

A practical mapping exercise for an urban lake restoration identifies the municipality, pollution-control authority, drainage engineers, residents, fishing communities, street vendors, developers and downstream villages. Each has different evidence: engineers model inflows; vendors describe livelihood loss; women report safety; residents report flooding; ecologists assess wetland function. Conflict is not evidence that participation has failed. A good process makes trade-offs explicit, gives reasons for choices and compensates unavoidable harm according to law.

### Collective-action problem

Many desirable outcomes, such as clean streets or groundwater recharge, benefit everyone, while the cost of individual contribution is immediate. Free-riding can prevent voluntary provision. Institutions solve this through enforceable rules, credible monitoring, graduated sanctions, trusted leadership and shared norms. Elinor Ostrom's work on common-pool resources challenges the assumption that only complete privatisation or central control can prevent overuse; locally designed institutions may work where boundaries, monitoring and dispute resolution are credible. This insight is relevant to tanks, grazing lands and local water users, but cannot be transplanted mechanically across different caste and land-tenure structures.

### Telangana example

A village tank restoration initiative can combine government engineering, local water-user knowledge, charitable support for awareness and independent quality testing. Yet upstream and downstream users may have competing needs, and landless households may not benefit directly from irrigation. Stakeholder analysis must therefore include drinking-water security, ecological flows and non-landowners, not only registered cultivators. Durable collective action requires clear maintenance responsibilities and a grievance process for those excluded from the dominant association.

### Exam inference

The word “stakeholder” should not become a substitute for democratic legitimacy. Elected government sets lawful priorities, professionals verify safety, affected people participate meaningfully, and donors or firms disclose interests. A credible answer differentiates consultation from consent, influence from rights, and philanthropic output from public value. This prevents the fashionable language of partnership from concealing unequal bargaining power.

## 12. Public–private partnerships: models, risk allocation and public value

### Definition and why governments use PPPs

A public–private partnership (PPP) is a long-term arrangement in which a private entity undertakes significant responsibility for delivering a public infrastructure asset or service, with contractually allocated risks, payments and performance obligations. It is **not** any purchase from a private vendor. Governments use PPPs to access technical capabilities, coordinate design–construction–maintenance incentives, or spread payments over time. But a PPP is not “free infrastructure”: users, taxpayers or both ultimately finance it, and the public authority retains substantial contingent liabilities.

Models include BOT (build–operate–transfer), DBFOT (design–build–finance–operate–transfer), BOOT (build–own–operate–transfer, subject to concession terms), management contracts and availability-payment concessions. Under a toll concession, the operator may bear demand risk; under an availability-payment arrangement, the authority generally retains demand risk and pays for service readiness subject to deductions. The same label can hide different contracts, so exam answers should explain **who owns the asset, who pays, who bears traffic or revenue risk, and what happens on failure**.

## The project lifecycle

First, government demonstrates the public need and compares alternatives, including traditional public procurement. Second, feasibility studies assess demand, land, environmental impacts, financial viability and distributional effects. Third, procurement uses transparent bidding and credible evaluation, avoiding specifications written for a preferred bidder. Fourth, the concession sets construction milestones, quality standards, tariffs or payment formula, reporting, change-in-law treatment, force majeure, termination compensation and handback condition. Fifth, independent contract management checks actual performance. Sixth, the authority plans transition when the concession ends.

The Department of Economic Affairs maintains India's PPP policy resources, appraisal mechanisms and a project pipeline. Its **Viability Gap Funding (VGF)** arrangements can support economically justified projects that are not financially viable solely from user charges; support is subject to applicable scheme rules and appraisal, not an automatic entitlement [S10–S11]. A current government pipeline listing identifies Telangana projects, but a pipeline entry is **not evidence of financial closure or completed service delivery** [S12].

## Risk allocation is the core test

Construction risk is often better managed by a competent builder; political tariff-setting and land-acquisition risk may lie substantially with government; demand risk depends on whether the private party can influence demand. Transferring a risk on paper does not eliminate it: an operator may later seek renegotiation or fail. The authority should quantify expected fiscal exposure, including guarantees and termination payments, and compare it with a publicly financed alternative. “Off-budget” treatment can conceal liabilities and distort choices.

Value for money requires lifecycle costing, not merely the lowest upfront bid. For a municipal treatment plant, a PPP may incentivise reliable maintenance if payments depend on verified water quality and uptime. It can fail if sampling is manipulated, tariffs exclude poor users or the municipality lacks contract engineers. Independent laboratory testing, transparent grievance data and a legally defensible tariff policy are essential. A well-designed public alternative can outperform a badly governed PPP, and vice versa.

## Telangana-specific illustration

Imagine a wastewater-reuse PPP serving an industrial cluster near Hyderabad. Industry can provide predictable demand, making the project financeable; treated water can reduce pressure on freshwater sources. Yet nearby residents must be protected from odour, contamination and diversion of municipal supplies. Contract design should specify influent assumptions, discharge standards, independent testing, electricity-cost sharing, emergency response and affordability safeguards. A local body should publish performance reports rather than rely solely on operator certificates.

## Critical appraisal

PPP proponents emphasise innovation, timely construction and lifecycle discipline. Critics warn about opaque contracts, renegotiation, high financing costs and reduced democratic control. Both concerns are legitimate. The right recommendation is conditional: choose a PPP only after transparent public-sector comparison, competitive procurement, capable regulation, risk analysis and strong grievance systems. The purpose is better **public service**, not simply more private capital.

## 13. Evaluating development partnerships: evidence, inclusion and environmental justice

### Outputs, outcomes and impact

A partnership may report 20,000 people trained, 100 kilometres of road constructed or 50 clinics supported. These are outputs. Outcomes are improved earnings, reduced travel time, reliable treatment or better learning. Impact asks what change can reasonably be attributed to the intervention compared with a credible alternative. A simple before–after comparison may exaggerate effects when economic growth, migration, rainfall or other policies changed simultaneously. Evaluation should state its limitations instead of inventing causal certainty.

An evaluation framework begins with a theory of change. For an SHG enterprise programme, inputs include training, credit and market access; immediate outputs include operational enterprises; intermediate outcomes include sales and margins; longer-term outcomes include women's control over income and resilience to shocks. If sales rise but debt stress and unpaid labour also rise, an “enterprise success” headline may be misleading. Measure distribution: the median woman, the poorest members, those who left the programme and those unable to join.

### Environmental and social safeguards

Development projects can impose uncompensated costs on communities with the least bargaining power. Environmental Impact Assessment processes, pollution-control consent, land and forest rights, public hearings and rehabilitation requirements must be understood in their applicable legal context. A project described as green may still displace informal livelihoods or consume scarce groundwater. Intergenerational equity asks whether today's fiscal and ecological decisions constrain tomorrow's residents. Climate-resilient infrastructure needs flood, heat and drought scenarios rather than assuming historical conditions will remain stable.

Telangana's tank systems, peri-urban lakes and dryland agriculture show why ecological accounting matters. Restoring a tank can improve recharge and reduce flood peaks, but benefits may be uneven between landowners and landless households. A large industrial park may create jobs while altering runoff and groundwater. The administrative question is how to disclose and mitigate trade-offs, compensate lawful losses and monitor cumulative impacts across projects.

### Social audit and transparency

Public disclosure must be usable, not merely voluminous. Contracts, service standards, budgets, environmental monitoring and grievance statistics should be searchable and understandable in local languages. Citizen report cards can identify problems but require representative sampling; complaint volumes may rise when trust in grievance systems improves, so fewer complaints do not always mean better service. Social audits should compare official expenditure and beneficiary records with field evidence and require time-bound action on findings.

Digital platforms can speed payments and publish dashboards, yet create exclusion through connectivity gaps, biometric failure or inaccessible interfaces. Personal data collected for welfare or SHG financing must be limited to legitimate purposes and safeguarded. A QR-based beneficiary database can help administration while increasing surveillance risk if used without consent and lawful controls. Technology is a tool; its developmental value depends on rights and outcomes.

### An integrated scorecard

Assess each intervention against five dimensions: **effectiveness** (did it solve the problem?), **equity** (who benefited or was excluded?), **efficiency** (what did it cost over its lifecycle?), **accountability** (could citizens challenge failure?), and **sustainability** (can benefits persist fiscally and ecologically?). A high score on one cannot excuse serious violations on another. This structure is particularly useful for 10-mark mains answers because it turns a descriptive list of schemes into a reasoned appraisal.

## 14. Corporate Social Responsibility: legal duties, limits and Telangana applications

### From voluntary philanthropy to a statutory governance obligation

Corporate Social Responsibility (CSR) under the Companies Act, 2013 is not merely a firm's charitable preference. **Section 135**, read with **Schedule VII** and the Companies (CSR Policy) Rules, 2014 (as amended), imposes specified governance and spending obligations on eligible companies. According to the Ministry of Corporate Affairs' official CSR FAQ, a company falls within the provision when, in the immediately preceding financial year, it meets **any one** threshold: net worth at least **₹500 crore**, turnover at least **₹1,000 crore**, or net profit at least **₹5 crore**. The thresholds are alternatives, not cumulative requirements [S09].

Covered companies must generally spend at least **2% of average net profits of the preceding three financial years**, calculated under the statutory method; newer companies use the available immediately preceding years as applicable. The figure is not 2% of turnover, nor 2% of total CSR budget, nor a flat levy on all firms. The Board has responsibility for the policy, spending and disclosure. A CSR committee is generally required, with statutory exceptions including when the CSR spending obligation does not exceed ₹50 lakh, in which case the Board discharges its functions. Eligible activities must relate to Schedule VII, interpreted broadly but not without limit.

### Governance, implementation and unspent funds

Companies may implement qualifying CSR projects directly or through eligible implementing agencies under the rules, subject to applicable registration and due diligence. The MCA's National CSR Exchange Portal connects registered companies and implementing agencies; portal listing does **not** independently certify an agency's quality. The Board must satisfy itself about use of funds and make required disclosures. Unspent amounts are subject to distinct statutory treatment depending on whether they relate to an ongoing project; they cannot simply be carried indefinitely as an informal promise. Rule 8 also provides for independent impact assessment by specified larger CSR spenders and projects. A correct answer should distinguish **financial compliance** from **social effectiveness**.

### What is not CSR

Ordinary statutory compliance, routine business expenditure, political-party contributions and activities benefiting only employees are not automatically qualifying CSR. Sponsoring a publicity event is not equivalent to a sustained eligible project. Local-area preference exists in the statute, but the MCA FAQ treats it as directory rather than an absolute rule: companies should balance local needs with broader national priorities. CSR spending is not generally deductible as ordinary business expenditure merely because it satisfies Section 135 [S09].

### Telangana applications and critical viewpoints

Hyderabad's pharmaceutical, technology and manufacturing firms can support public-interest projects such as school science facilities, disability access, community health, skills and environmental restoration, subject to Schedule VII and statutory rules. A credible CSR project identifies a public need through community consultation, coordinates with the responsible department, budgets maintenance, publishes independent evaluation and avoids replacing core public expenditure. A company funding a school lab should verify teacher training and consumables; one funding lake restoration should disclose water-quality trends and not use CSR to offset its own unremedied pollution obligations.

Proponents argue that CSR mobilises private resources and managerial expertise for social objectives. Critics argue that companies may select publicity-friendly causes, influence local priorities or use spending to mask harmful core operations. Both are plausible. CSR should complement—not privatise—the democratic allocation of public goods. The strongest governance model combines legal compliance, transparent project selection, independent impact evidence, community voice and corporate accountability for ordinary environmental and labour duties.

### Exam facts and analytical conclusion

Remember the **₹500 crore / ₹1,000 crore / ₹5 crore** applicability tests; **2% of average net profits**; **Section 135, Schedule VII, CSR Rules 2014**; Board responsibility; eligible implementing agencies; treatment of unspent funds; and independent impact assessment where prescribed. Then ask whether the programme improves capabilities, protects excluded groups and survives after the funding cycle. Counting CSR expenditure alone does not prove development.

## 15. Three funding gates: CSR unspent obligations, PPP viability support and SHG credit

### Distinguish the legal and financial instruments

CSR, viability-gap funding and SHG bank linkage may all support development, but they solve different institutional problems. **CSR** creates a company spending and reporting obligation under Section 135 of the Companies Act, 2013. **Viability Gap Funding (VGF)** provides conditional public support to eligible PPP infrastructure that is economically or socially desirable but insufficiently commercially viable. **SHG bank linkage** connects savings-based community groups with formal loans. A budget announcement or loan disbursement is not, by itself, evidence of improved welfare. Compare each instrument's legal trigger, eligible recipient, financing terms, monitoring responsibility and measurable outcomes. [S09, S11, S14]

### CSR: two different unspent-money routes

Suppose a company subject to Section 135 has a year-end CSR shortfall. The required action depends on whether the amount relates to a qualifying **ongoing project**. Section 135(6) requires transfer of the ongoing-project amount to a separate **Unspent Corporate Social Responsibility Account within 30 days** of the financial-year end. The money must be used for the CSR obligation within **three financial years**; any remaining amount must then follow the statutory Schedule VII transfer requirement. In contrast, unspent CSR money **not** related to an ongoing project follows Section 135(5): transfer to a Schedule VII fund **within six months** after the financial-year end. The company cannot freely select the more convenient deadline. The Ministry of Corporate Affairs (MCA) FAQ also distinguishes money disbursed to an implementing agency from money actually utilised for the approved activity. [S09]

Section 135(9) creates a narrower administrative exception. Where the required CSR spending does **not exceed ₹50 lakh**, constitution of a separate CSR Committee is not mandatory; the **Board** performs the committee's functions. That does not eliminate CSR expenditure, disclosure or proper treatment of unspent amounts. A useful mains distinction is **governance structure versus substantive statutory duty**. For any CSR intervention, track eligible spending, implementation, independent outcome measures and the beneficiaries' ability to complain. [S09]

### PPP VGF: the headline percentage is not universal

Consider a wastewater-treatment concession where public-health and environmental benefits exceed the private revenues recoverable through tariffs. The Department of Economic Affairs (DEA) revamped VGF framework allows eligible projects to seek public assistance, subject to eligibility, appraisal, bidding and contract controls. Under social-sector **Sub-scheme 1**, eligible projects may receive up to **30% of capital cost from the Centre** plus up to **30% from the eligible sponsoring authority**, with scheme conditions including operational-cost recovery. A separate pilot/demonstration **Sub-scheme 2** applies to eligible health and education projects and has different capital and operating-support ceilings. Therefore, “every PPP receives 80% subsidy” is incorrect. A government PPP pipeline listing also does not prove a completed or profitable project. [S11]

### SHG lending: a benchmark is not an absolute cap

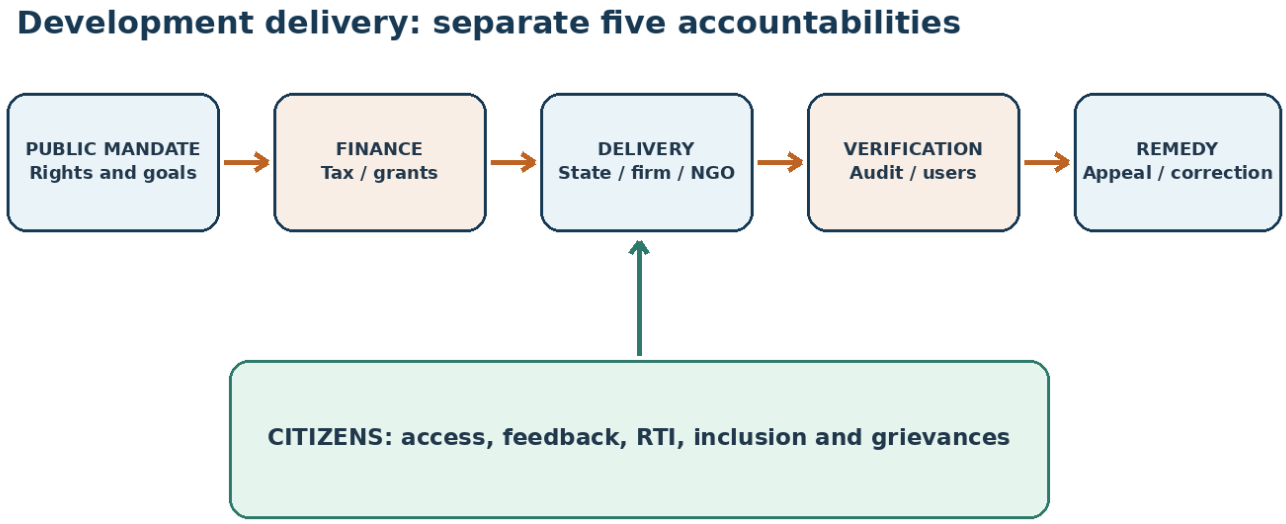
The RBI's **1 April 2024 SHG–Bank Linkage Master Circular** describes savings-linked loans generally using a savings-to-loan ratio from **1:1 to 1:4**. It expressly permits lending **beyond four times savings for mature SHGs at the bank's discretion**. The 1:4 ratio is thus not a universal legal ceiling, and discretion is not an entitlement to unlimited credit. Credit quality depends on enterprise viability, repayment capacity, group governance and whether women retain control over income. Counting sanctioned loans alone cannot demonstrate empowerment. [S14]

### Telangana application and examination conclusion

For a Telangana case, first diagnose the failure: inadequate wastewater infrastructure, women entrepreneurs' working-capital constraints, or unmet public-health needs. Select an instrument only after identifying who is accountable for results. **CSR → company and Board oversight; VGF → public appraisal plus concession monitoring; SHG linkage → bank credit assessment plus group/member repayment.** State measurable outcomes such as reliable treatment capacity, sustained net earnings or reduced debt distress, and distinguish programme announcements from independent impact evaluations. The best development design aligns legal eligibility, fiscal realism, inclusion and verified results rather than celebrating the amount of funding alone.

## Visual learning and comparison tables

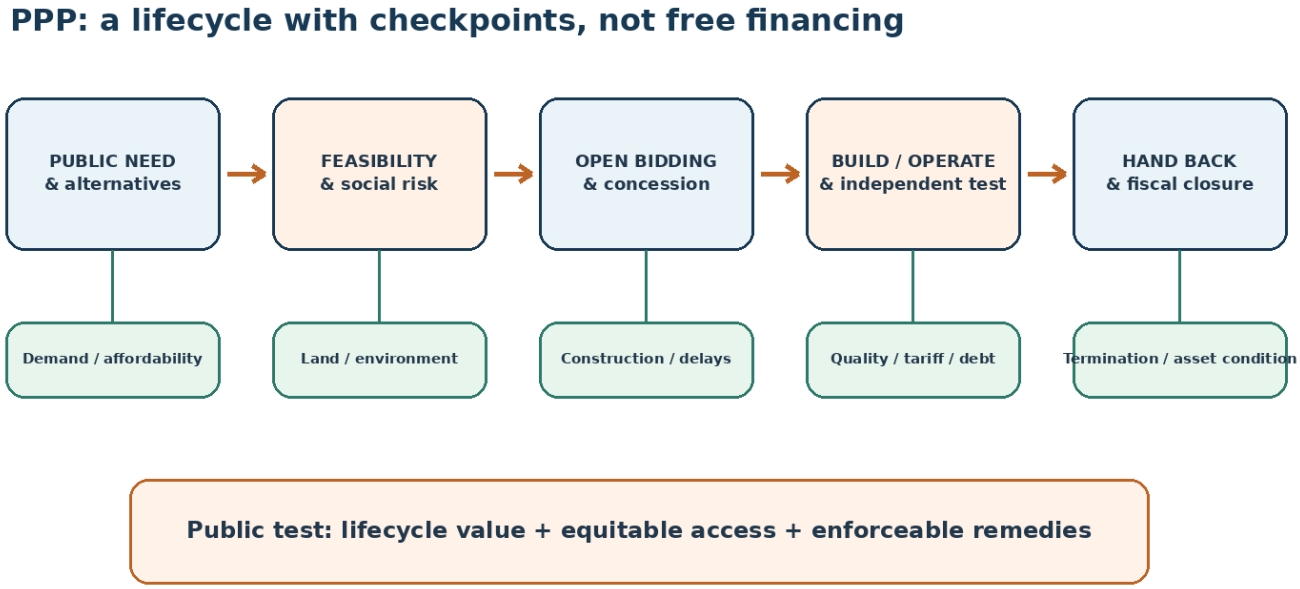
### Diagram A — Accountability across delivery actors




Contracting a service never contracts away public accountability.

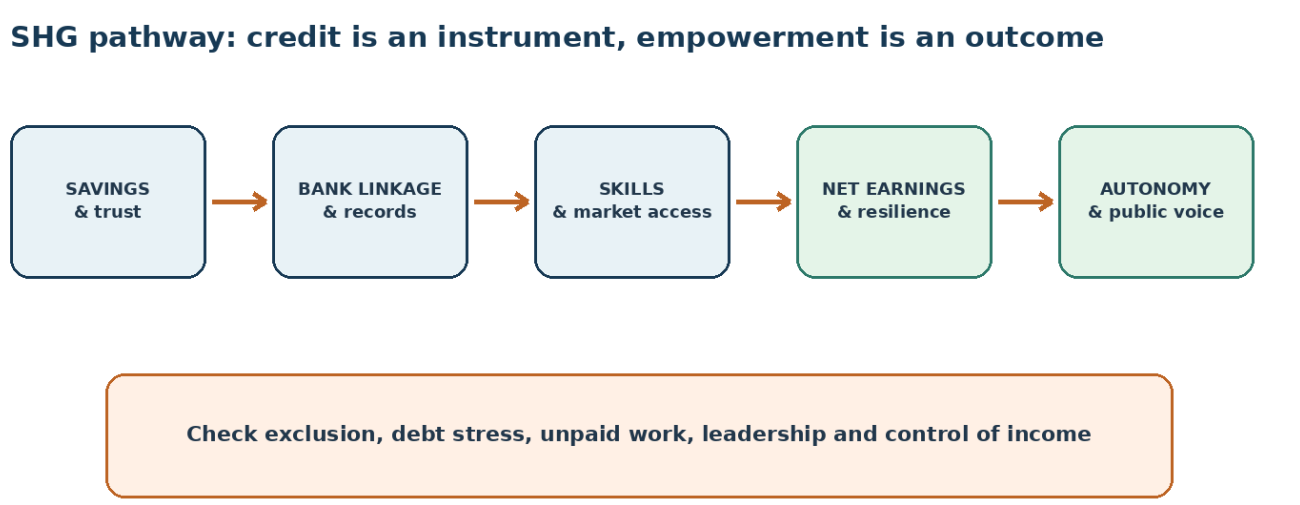
The arrow from citizens to grievance and independent audit is essential. A private provider can deliver a service, but government cannot contract away constitutional equality, lawful regulation or the right to a remedy.

## Diagram B — PPP lifecycle and risk allocation




Use the diagram to distinguish a concession's **risk transfer** from mere postponement of payment. Revisit public-sector comparison before signing and during renegotiation.

## Diagram C — SHG-to-enterprise pathway




The last step is not “loans disbursed”; it is sustainable net income and genuine decision-making power.

## Table 1. Development paradigms

| Approach | Principal question | Strength | Main blind spot | Appropriate Telangana test |
|---|---|---|---|---|
| Growth/modernisation | Is productivity and output rising? | Financing capacity, structural change | Distribution, externalities | Are industrial jobs accessible beyond skilled urban workers? |
| Capability/human development | Are real freedoms expanding? | Health, learning, dignity | Measurement and fiscal trade-offs | Do girls complete education safely? |
| Redistribution/social justice | Who gains assets, income and voice? | Exposes unequal power | Can ignore productive base | Are tribal and landless groups included? |
| Sustainability | Can gains persist ecologically? | Climate, groundwater, future generations | Long horizons complicate budgets | Are lake and water systems resilient? |

## Table 2. Actors and accountability

| Actor | Comparative advantage | Principal risk | Correct accountability device |
|---|---|---|---|
| State department | Legal authority, taxation, universal mandate | Political/bureaucratic failure | Legislative scrutiny, audit, RTI, appeals |
| Competitive private firm | Innovation, cost discovery | Profit-driven exclusion, externalities | Regulation, competition, contract metrics |
| NGO/charity | Trust, specialisation, flexibility | Donor capture, weak representation | Audits, safeguarding, beneficiary grievance |
| CBO/Gram Sabha | Local knowledge, legitimacy | Elite capture, tokenism | Inclusion rules, open records, response to objections |
| SHG federation | Savings discipline, bargaining | Debt stress, leadership concentration | Member elections, accounts, market-outcome checks |
| CSR sponsor | Finance and expertise | Branding over public value | Section 135 disclosures, independent impact assessment |

## Table 3. PPP and procurement instruments

| Instrument | Typical payment source | Core private risk | Public safeguard |
|---|---|---|---|
| Conventional works contract | Budget milestones | Construction/defects | Inspection and defect liability |
| BOT toll concession | Users, subject to contract | Construction and often demand | Tariff oversight, quality, renegotiation rules |
| Availability-payment PPP | Government subject to uptime | Construction and availability | Performance deductions, fiscal disclosure |
| Management contract | Government/user tariff | Management performance | Independent KPI verification |
| VGF-assisted concession | Users plus eligible grant | As contract allocates | Competitive bidding and VGF appraisal |

## Table 4. CSR legal quick test

| Question | Correct rule or distinction |
|---|---|
| Who is covered? | Any **one** of net worth ≥ ₹500 crore, turnover ≥ ₹1,000 crore, net profit ≥ ₹5 crore in preceding FY |
| Required spend? | Generally at least 2% of average net profits of preceding three FYs, calculated as prescribed |
| Statute? | Companies Act, 2013, Section 135; Schedule VII; CSR Rules, 2014 as amended |
| Is CSR identical to tax-deductible business expenditure? | No |
| Does portal registration certify implementing-agency quality? | No; corporate due diligence remains essential |
| Are CSR projects proof of public impact? | No; spending and independently measured outcomes differ |

## Table 5. Exam answer selection grid

| If the question asks… | Lead with… | Then critique… |
|---|---|---|
| “Development debates” | Capabilities vs growth and sustainability | Indicator selection, unequal benefits |
| “State and market” | Market failures and state failures | Regulatory capture, fiscal capacity |
| “Role of civil society” | Voice, service, watchdog functions | Representativeness, donor dependence |
| “SHGs in Telangana” | SERP/MEPMA, Indira Mahila Shakti | Debt stress, enterprise viability |
| “PPP evaluation” | Lifecycle cost, risk allocation | Renegotiation, contingent liabilities |
| “CSR” | Section 135 thresholds, Schedule VII | Tokenism, additionality, impact evidence |

## Standalone quick revision — Paper III / Unit III / Topic 4

**Use this section independently in the final revision week.** It contains the key definitions, legal tests, Telangana anchors and answer skeletons; detailed explanations appear earlier.

### One-minute thesis

Development is the durable expansion of capabilities and opportunity, not merely higher GDP or completed assets. The state guarantees rights and collective goods; competitive markets can innovate; CBOs and SHGs supply local information and organisation; NGOs and charities may deliver and scrutinise; PPPs and CSR can add resources only when contracts, law and democratic accountability work. **A partnership is a means, not a measure of success.**

### Eight must-know contrasts

1. **Growth / development:** output versus capabilities, distribution, sustainability and voice.
2. **Public finance / public delivery:** government can pay while another actor delivers; public duty remains.
3. **Pure public good / merit good:** non-excludable non-rival collective benefit versus socially desirable private consumption with spillovers.
4. **Market failure / state failure:** externalities, monopoly and information gaps versus capture, delay and weak incentives.
5. **Civil society / NGO:** wider voluntary public sphere versus a particular organisational form.
6. **CBO / NGO:** membership rooted in affected community versus often professional board/donor governance; not an absolute boundary.
7. **SHG credit / empowerment:** loans and savings are instruments; net income, mobility and control of decisions are outcomes.
8. **PPP / outsourcing:** long-term shared risk and service obligations versus ordinary purchase of goods or works.

### Legal anchors

- Constitution: Articles **14**, **15**, **19(1)(c)**, **21**, **21A**, **38**, **39**, **41**, **47**, **48A**; local-government framework **243A**, **243-I**, **243-Y**, **243ZD**.
- **73rd and 74th Constitutional Amendments:** local government; schedule lists do not equal automatic devolution.
- **RTI Act 2005:** public records and accountability; **PESA 1996:** Scheduled Area governance in applicable locations.
- **Companies Act 2013 Section 8:** not-for-profit corporate form; **FCRA 2010:** foreign-contribution compliance distinct from registration.
- **Companies Act 2013 Section 135 + Schedule VII + CSR Rules 2014:** net worth **₹500 crore OR** turnover **₹1,000 crore OR** net profit **₹5 crore**; generally **2% of average net profits**.

### Telangana-specific anchors and dates

- **SERP:** rural women's SHG federation ecosystem; **MEPMA:** urban poverty and SHGs.

- **8 March 2025:** Telangana announced **Indira Mahila Shakti Policy**; focus on enterprise and wealth creation, not thrift alone [S05].
- **June 2026:** state government reported **553 SHG-owned buses** handed over for TGSRTC operation; programme announcement, **not proof of individual group profits** [S08].
- **July 2024:** NITI Aayog SDG India Index 2023–24 reports India's composite score **71**, versus **66** in 2020–21 [S03].
- **2020 VGF reform:** DEA notified revamped PPP Viability Gap Funding framework in December 2020, with specified social-sector support conditions [S11].

### Development policy diagnostic: ask seven questions

**Problem** — What specific deprivation? **Counterfactual** — What without intervention? **Delivery** — Who pays, produces, regulates? **Inclusion** — Who is excluded? **Evidence** — Output or outcome? **Risk** — Who bears fiscal/environmental losses? **Remedy** — How can citizens complain and obtain correction?

### Mains answer blueprints

- **Development debates:** definition → rival paradigms → Telangana inequality → balanced capability-and-sustainability synthesis.
- **State versus market:** public/merit goods and externalities → state failure → calibrated regulation and accountability.
- **Civil society/CBOs:** functions → representation → elite capture and donor capture → inclusive consultation, audits and grievance.
- **SHGs:** savings and federation → Telangana policy → income/autonomy indicators → debt, inclusion and market constraints.
- **PPP:** need → alternative procurement comparison → risk and VGF → tariff, fiscal and audit safeguards.
- **CSR:** applicability thresholds → Board/Rule duties → eligible projects → additionality and independently measured impact.

### Traps examiners exploit

**False:** every public service is a pure public good. **False:** a society registration automatically grants FCRA permission. **False:** CSR is 2% of turnover. **False:** every PPP transfers all risk to the private operator. **False:** a government scheme's target is a verified outcome. **False:** all members of a neighbourhood association represent all residents. **False:** an SHG's loan portfolio measures women's empowerment. **False:** a 75-slot portal proves 75 finished chapters.

### Provenance notice

No question in this chapter is presented as an official previous-year question. The practice below is original. Independent academic approval remains pending.

## 25 original MCQs with explanations — NOT official PYQs

**Provenance:** The following questions are newly authored for practice. They are **not** described as TGPSC/TSPSC official previous-year questions. No original official question-paper number has been established for this topic.

### Q1. Which observation most strongly demonstrates development beyond economic growth?

A. Increase in nominal state tax collections. B. Increase in GDP without population adjustment. C. Reduction in preventable mortality alongside improved access for disadvantaged groups. D. Increase in registered construction contracts.

**Answer: C.** Mortality and equitable access directly reflect human capabilities; the other indicators may grow without a welfare improvement.

### Q2. A town has household water connections but supply lasts only two hours every third day. Which statement is most accurate?

A. Universal water service is achieved. B. Connection coverage is an output; reliability is a service outcome. C. The water system is a pure private good. D. The connection count proves environmental sustainability.

**Answer: B.** Physical connection counts cannot establish quality, continuity or affordability.

### Q3. Which of the following is closest to a pure public good?

A. An individual dental filling. B. A private tutoring class. C. A household LPG cylinder. D. A publicly available flood early-warning signal.

**Answer: D.** A warning signal is largely non-rival and difficult to exclude users from; healthcare and tutoring are usually merit/private services.

### Q4. What is the main problem with using per-capita income alone to judge development?

A. It cannot be expressed in currency. B. It cannot be compared over time. C. It can conceal distribution, capability and ecological outcomes. D. It always underestimates urban income.

**Answer: C.** Averages can rise even when gains are concentrated or environmental harm increases.

### Q5. Which is an example of an externality justifying regulation?

A. A factory's untreated effluent damages downstream drinking-water quality. B. A family purchases vegetables. C. A teacher buys a textbook. D. A bank publishes its opening hours.

**Answer: A.** Pollution imposes costs on third parties not fully reflected in the firm's private production cost.

### Q6. The Eleventh and Twelfth Schedules of the Constitution are best understood as:

A. Automatic transfer of all listed funds to local bodies. B. Lists of possible functional subjects within the decentralisation framework. C. Judicially enforceable tariffs for every municipality. D. Mandatory staffing ratios for all Gram Panchayats.

**Answer: B.** Effective devolution also requires state legislation, finance and administrative capacity.

### Q7. Which process best reflects meaningful participation rather than tokenism?

A. Taking signatures after the contractor is selected. B. Publishing the final plan only in English. C. Inviting comments before choices are final and issuing reasoned responses. D. Consulting only influential landowners.

**Answer: C.** Participation requires the possibility of influencing decisions and receiving accountability for rejected suggestions.

### Q8. The main difference between a CBO and a professional NGO is generally:

A. CBOs can never register legally. B. NGOs cannot deliver services. C. CBOs are typically rooted in member communities, while NGOs may be board/donor governed. D. CBOs are always constitutionally created.

**Answer: C.** These are tendencies, not absolute legal categories.

### Q9. Which risk can undermine civil-society representation?

A. Public access to budgets. B. Elite capture by a narrow local group. C. Written grievance responses. D. Rotation of office bearers.

**Answer: B.** An association may speak loudly while excluding poorer residents, tenants or women.

### Q10. Registration of a voluntary organisation as a society automatically grants which permission?

A. Foreign contribution under FCRA. B. CSR implementing-agency status. C. Income-tax exemption for all activities. D. None of the above.

**Answer: D.** Legal registration, FCRA, tax status and CSR eligibility are distinct.

### Q11. Which pairing is correct for Telangana?

A. SERP—primarily rural SHG institutions; MEPMA—urban poverty/SHGs. B. SERP—only international NGOs; MEPMA—Supreme Court tribunal. C. SERP—municipal tax collection only; MEPMA—rural irrigation tribunal. D. Both agencies regulate listed-company CSR accounts.

**Answer: A.** Their institutional mandates address different rural and urban development settings.

### Q12. The strongest evidence of SHG economic empowerment would be:

A. Number of new group passbooks printed. B. Aggregate loans sanctioned only. C. Sustained member net earnings, control over income and reduced debt distress. D. Number of ceremonial launch events.

**Answer: C.** Financial inputs matter only insofar as they improve livelihoods and agency.

### Q13. Telangana's Indira Mahila Shakti Policy was announced in:

A. March 2025. B. January 2010. C. July 2014. D. December 2026.

**Answer: A.** The government announced the policy on 8 March 2025 [S05].

### Q14. Which statement about the June 2026 SHG bus announcement is valid?

A. It independently proves every group is profitable. B. It is a dated government programme announcement, not an independent profitability audit. C. It means all SHGs own buses. D. It repeals Section 135 of the Companies Act.

**Answer: B.** A reported handover or future target must be distinguished from verified financial outcomes [S08].

### Q15. Which arrangement is most clearly a PPP rather than ordinary procurement?

A. Buying office stationery. B. Hiring a plumber for one day. C. A long-term wastewater concession with defined construction, operating and performance risks. D. Purchasing a desktop computer.

**Answer: C.** Long-term service responsibility and allocated risks distinguish the concession.

### Q16. In a PPP, demand risk should ideally be borne by:

A. The party best able to influence and manage it, consistent with the contract and public value. B. Always the poorest users. C. Always the contractor irrespective of context. D. No party because it disappears after signature.

**Answer: A.** Mechanical risk transfer can create failure or renegotiation; incentives and control matter.

### Q17. Viability Gap Funding is primarily intended to:

A. Finance all corporate marketing. B. Support economically justified PPP infrastructure projects that are commercially unviable under applicable rules. C. Exempt all PPPs from competitive bidding. D. Replace public oversight of tariffs.

**Answer: B.** DEA's VGF framework is conditional support, not an automatic subsidy [S11].

### Q18. Which is a common PPP fiscal danger?

A. Transparent reporting of guarantees. B. Lifecycle costing. C. Unrecorded contingent liabilities and termination payments. D. Independent engineering review.

**Answer: C.** Off-budget promises can impose later costs on taxpayers.

### Q19. Under Section 135, a company may be covered if it meets which test in the preceding financial year?

A. All three thresholds simultaneously. B. Any one of ₹500 crore net worth, ₹1,000 crore turnover or ₹5 crore net profit. C. Only if it has 10,000 employees. D. Only if it is listed on a stock exchange.

**Answer: B.** The three statutory criteria are alternative thresholds [S09].

### Q20. The ordinary CSR spending rule for eligible companies is based on:

A. Two percent of turnover. B. Two percent of all capital expenditure. C. Two percent of average net profits as prescribed. D. Ten percent of GST paid.

**Answer: C.** Section 135 uses average net profits, generally of the preceding three financial years, with statutory calculation rules [S09].

### Q21. Which activity is generally not qualifying CSR merely because a company labels it social responsibility?

A. An eligible public-health project under Schedule VII. B. An eligible community education project. C. Spending required to meet the company's ordinary pollution-control legal duties. D. An eligible disability-inclusion programme.

**Answer: C.** Compliance with an existing legal obligation is not converted into CSR by relabelling it.

### Q22. An NGO is shown on the National CSR Exchange Portal. What does that establish?

A. Independent government certification of all its outcomes. B. The portal provides a matching platform; corporate due diligence remains necessary. C. Automatic FCRA permission. D. Guaranteed CSR funding.

**Answer: B.** The official portal expressly disclaims independent verification of agency claims [S09].

### Q23. The most defensible indicator for a training programme is:

A. Number of certificates printed alone. B. Attendance photographs alone. C. Sustained job placement and earnings, disaggregated by vulnerable groups. D. Number of speeches delivered.

**Answer: C.** Employment and earnings are closer to the intended outcome; disaggregation tests equity.

### Q24. Why can a complaint count rise after an accountability reform?

A. Complaints always mean service collapse. B. Improved access and trust may encourage reporting of previously hidden problems. C. More complaints legally prove corruption. D. It shows all complaints are false.

**Answer: B.** Complaint data require interpretation alongside resolution rates, severity and service quality.

### Q25. Which policy design best combines state, market and civil society roles?

A. Remove all legal remedies once a private contractor is hired. B. Give all budget authority to the largest charity. C. Specify public standards, competitively contract appropriate tasks, include affected communities and independently verify outcomes. D. Evaluate only the number of contracts signed.

**Answer: C.** Clear allocation of authority, incentives, voice and verification protects public value.

### Q26. An eligible company's unspent CSR amount relates to a qualifying ongoing project. Which immediate year-end step is ordinarily required under Section 135(6)?

A. Transfer it to the Unspent CSR Account within 30 days after the financial year ends. B. Pay it as dividends within 30 days. C. Transfer it to a Schedule VII fund within six months as if it were non-ongoing. D. Carry it forward indefinitely without disclosure.

**Answer: A.** Section 135(6) requires the separate account and 30-day transfer for ongoing-project amounts [S09]. B confuses CSR with shareholder distribution; C substitutes the non-ongoing route; D ignores the statutory transfer duty.

### Q27. For an unspent CSR amount not related to a qualifying ongoing project, which statement follows Section 135(5)?

A. It must remain in the company's general account for three years. B. It must be transferred to an eligible Schedule VII fund within six months of financial-year end. C. It is automatically waived if the Board gives reasons. D. It must be transferred to the Unspent CSR Account within 30 days.

**Answer: B.** Section 135(5) specifies the six-month Schedule VII route for non-ongoing amounts [S09]. A invents a general-account carry-forward; C treats explanation as waiver; D substitutes the ongoing-project account.

### Q28. Under Section 135(9), what happens when a covered company's required CSR expenditure does not exceed ₹50 lakh?

A. The company is exempt from all CSR spending. B. The company may ignore CSR reporting. C. A separate CSR Committee is not mandatory; the Board performs its functions. D. Only an NGO may approve the CSR budget.

**Answer: C.** The exception concerns committee constitution, not the substantive CSR duty [S09]. A and B wrongly erase compliance; D invents NGO approval power.

### Q29. Under the DEA's revamped VGF social-sector Sub-scheme 1, which statement is accurate?

A. Every PPP automatically receives 80% of capital cost. B. Only private companies approve grants. C. The scheme prohibits sponsoring-authority support. D. Eligible projects may receive up to 30% central capital support plus up to 30% additional eligible sponsoring-authority support, subject to conditions.

**Answer: D.** The conditional 30%+30% social-sector Sub-scheme 1 ceilings are published by DEA [S11]. A universalises a different category; B confuses bidder with approving authority; C denies expressly permitted co-support.

### Q30. Which statement matches RBI's 1 April 2024 SHG–Bank Linkage Master Circular?

A. Mature SHGs may receive loans beyond four times savings at the bank's discretion. B. Every SHG is prohibited from borrowing above its savings. C. SHG loans are automatically grants. D. Every mature SHG has an unconditional right to unlimited credit.

**Answer: A.** RBI describes ordinary 1:1–1:4 savings-linked ratios but allows mature SHGs to exceed 1:4 at the bank's discretion [S14]. B invents a lower cap; C confuses loans with grants; D removes credit assessment.

## Six original mains questions, answer blueprints and complete model answers

**Provenance:** All questions below are **original practice**, not verified TGPSC previous-year questions. Model answers target approximately 200–250 words excluding question and blueprint; each uses question-specific analytical subheadings.

### Mains Q1. “Economic growth is necessary but insufficient for development.” Discuss with reference to Telangana.

**Answer blueprint:** Define growth/development → compare modernisation and capability approaches → Telangana urban–rural distribution → sustainability → measurable conclusion.

**Introduction — Two different tests.** Economic growth increases real output and the resources available to households and government. Development asks whether these resources translate into health, education, security, agency and sustainable livelihoods. A state may grow rapidly while disadvantaged groups remain excluded from services.

**Background — Competing approaches.** Modernisation theory stresses infrastructure, productivity and structural change; the capability approach associated with Amartya Sen stresses substantive freedoms. Sustainable development adds the interests of future generations. Each captures a necessary part of the picture, but none can be assessed using GDP alone.

**Telangana evidence and mechanisms.** Hyderabad's technology and pharmaceutical clusters generate employment and tax capacity, yet dryland cultivators, informal workers and remote habitations face different barriers. Government must connect growth to school quality, reliable drinking water, primary care, safe transport and climate adaptation. NITI Aayog's 2023–24 SDG index measures multidimensional progress rather than income alone; its scores should not be mistaken for percentages of beneficiaries.

**Critical appraisal.** Redistribution without productive growth can be fiscally fragile, whereas growth without environmental and social safeguards can deepen inequality. Outputs such as roads built should be tested against travel-time savings, inclusion and maintenance.

**Conclusion.** Telangana needs capability-enhancing, climate-resilient growth: competitive investment combined with accountable public services and disaggregated outcome measurement. Development is proved by durable improvements in people's lives, not by expenditure announcements.

### Mains Q2. Explain how the state and the market should share responsibility for essential public services.

**Answer blueprint:** Distinguish financing, delivery and regulation → identify market and state failures → discuss instruments → give a service example → safeguards.

**Introduction — A false binary.** Essential services need not be delivered exclusively by the state or by private firms. Government may finance, regulate or directly provide them, while a private or community institution may undertake defined delivery tasks. The public duty to ensure lawful, equitable access remains.

**Objectives and economic logic.** Public goods, externalities, natural monopolies and information asymmetry justify state action. Markets can improve innovation and efficiency when competition and consumer choice are real. Yet market failures coexist with state failures such as corruption, poor incentives, political capture and weak maintenance.

**Instruments and Telangana illustration.** For municipal water, government should define minimum quality, continuity and affordability; a competent operator may construct or maintain assets under measurable conditions. Independent laboratory tests, public tariff rules and grievance mechanisms are necessary because users cannot easily switch pipeline networks. A rural health service similarly needs

public finance and oversight even where contracted diagnostics are used.

**Critical appraisal.** Privatisation does not remove fiscal liabilities or guarantee efficiency. Conversely, public ownership without professional management does not guarantee good service. Contracts can encourage cherry-picking of profitable users unless universal-service obligations and compensation are explicit.

**Conclusion — Calibrated partnership.** Choose delivery arrangements by lifecycle cost, measurable quality, inclusion and regulatory capacity. Public accountability, transparent procurement and enforceable remedies should determine the boundary between state and market, rather than ideology.

### Mains Q3. Evaluate the role and limitations of civil society, NGOs and CBOs in participatory development.

**Answer blueprint:** Define the three terms → functions → legal/participatory channels → elite capture and donor dependence → practical reform.

**Introduction — Democratic participation.** Civil society encompasses voluntary associations beyond government and markets. NGOs are organised voluntary institutions, while CBOs are usually rooted in an affected locality or membership group. They can provide services, mobilise knowledge and scrutinise power.

**Functions and mechanisms.** Community groups identify problems invisible in administrative dashboards; NGOs may deliver specialist training or document discrimination; public-interest networks advocate legal reform. Gram Sabha processes, accessible budget disclosure, the Right to Information Act and programme-specific social audits can connect citizen evidence to official decisions.

**Telangana application.** A village water committee can track downtime, quality and repair bills. A tribal association can bring a remote hamlet's concerns to a district planning process, while a technical NGO explains environmental risks. Participation is meaningful only if objections are recorded and authorities provide reasoned responses before irreversible decisions.

**Critical appraisal — Who speaks?** CBOs may be dominated by powerful castes or landowners. NGOs may follow donor priorities or depend on government contracts that discourage criticism. Registration does not automatically establish democratic representation, FCRA permission or tax status. Public meetings held after decisions are final are tokenistic.

**Conclusion — Institutional safeguards.** Use inclusive membership, women-friendly meeting times, accessible information, audited accounts, independent facilitation and grievance redress. Civil society complements elected institutions; it must widen voice without replacing public responsibility or escaping scrutiny.

### Mains Q4. Discuss how Telangana's self-help groups can move from microcredit to genuine women's empowerment.

**Answer blueprint:** Explain SHG financial mechanism → SERP/MEPMA and 2025 policy → market constraints → social agency → balanced conclusion.

**Background — Savings as an entry point.** SHGs build regular savings, internal lending and peer-supported access to banks. Federations can reduce transaction costs and strengthen women's collective bargaining. However, loans disbursed are inputs; empowerment concerns income, autonomy,

safety and influence over decisions.

**Telangana institutions and policy.** SERP supports rural SHG institutions, while MEPMA works with urban poverty and women's groups. Telangana's Indira Mahila Shakti Policy, announced in March 2025, emphasised enterprises and wealth creation beyond thrift. In June 2026 the government reported 553 SHG-owned buses handed over for transport operations; this records programme activity, not independent proof of profitability.

**Mechanisms for durable enterprise.** Groups require viable demand, skills, quality assurance, working capital, marketing, digital bookkeeping and safe transport. Collective procurement can improve bargaining, but enterprises must account for interest, depreciation, insurance and unpaid labour. Leadership rotation and member-accessible accounts reduce internal capture.

**Critical appraisal — Debt and exclusion.** Peer pressure may conceal repayment distress; the poorest women may be unable to save regularly. Enterprise income may not translate into control over household decisions. Evaluation should track median net earnings, debt stress, participation by marginalised women and decision-making autonomy.

**Conclusion.** Successful SHG policy combines finance with market access, social protection and civic voice. Telangana should judge the programme by sustainable livelihoods and women's agency rather than group counts or loan totals.

### Mains Q5. Are public–private partnerships a solution to infrastructure deficits? Critically examine their design and risks.

**Answer blueprint:** Define PPP → rationale → lifecycle and VGF → risk allocation → public value and safeguards.

**Introduction — A conditional instrument.** PPPs are long-term arrangements in which private entities assume defined infrastructure or service responsibilities and risks. They may accelerate implementation and encourage lifecycle maintenance, but are not free finance or an automatic substitute for public investment.

**Objectives and design.** A project should begin with a demonstrated service need and comparison against conventional procurement. Feasibility analysis must cover demand, land, environmental impacts, affordability and fiscal exposure. Transparent bidding leads to a concession specifying construction, quality, tariffs, payments, monitoring, termination and handback. The Department of Economic Affairs' Viability Gap Funding framework can support eligible economically desirable but commercially weak projects.

**Risk and Telangana example.** A wastewater-reuse PPP near Hyderabad could reduce freshwater pressure and supply industry. The operator may manage construction and treatment performance, while government must address land permissions and public-service obligations. Independent water testing and emergency response are indispensable.

**Critical appraisal.** Demand risk may be transferred only on paper, prompting later renegotiation. Availability payments and guarantees create contingent liabilities. Weak contract management can turn a competitively awarded concession into a long monopoly without accountability. Poor households may be excluded by tariffs.

**Conclusion — Public value first.** Choose PPPs only where lifecycle value, credible risk allocation and competent regulation are demonstrated. Publish contracts, monitor outcomes and retain citizen remedies. The test is reliable, equitable infrastructure, not private investment announced.

### Mains Q6. Explain India's statutory CSR framework and assess whether CSR spending guarantees development.

**Answer blueprint:** State Section 135 thresholds → 2% rule and governance → Schedule VII/implementation → additionality and impact → Telangana application.

**Introduction — Statutory responsibility.** Corporate Social Responsibility under the Companies Act, 2013 has a legal framework distinct from discretionary philanthropy. Section 135 and Schedule VII, with the CSR Rules, require eligible companies to plan, spend and disclose qualifying social projects.

**Applicability and measures.** A company meets the threshold if, in the preceding financial year, it has net worth of at least ₹500 crore, turnover of at least ₹1,000 crore **or** net profit of at least ₹5 crore. The ordinary spending obligation is at least 2% of average net profits calculated under the Act. The Board oversees policy and disclosure; committee rules and treatment of unspent funds depend on statutory conditions.

**Implementation and Telangana relevance.** Eligible projects may address education, health, environmental sustainability and other Schedule VII subjects. Telangana firms could support school laboratories, disability access or community health, coordinated with responsible departments. Implementing-agency eligibility, financial controls and independent impact assessment where required matter more than branding.

**Critical appraisal — Spending versus outcomes.** A funded laboratory without trained teachers may remain unused. A company cannot treat ordinary legal pollution compliance as a CSR achievement. Projects may favour visible urban sites over neglected communities. National CSR Exchange registration does not independently certify an agency's effectiveness.

**Conclusion.** CSR can supplement public capacity, but cannot replace the state's duty or excuse harmful core operations. Measure verified capabilities, inclusion and sustainability—not only rupees spent.

## Sources, verification ledger and unresolved academic audit

### Primary-source evidence register

**Evidence standard.** The references below were checked for relevance and institutional provenance on 23 October 2026. Statutes and official policy documents carry greater evidentiary weight than press statements; a government programme announcement is evidence of the announcement, not independent proof of its outcomes. Source page numbers are deliberately omitted from student-facing notes.

**S01 — TGPSC, Notification 02/2024, dated 19 February 2024**. Official notification located in TGPSC search index; PDF retrieval failed (502); full primary-text comparison remains open [official source]

**S02 — TGPSC Group I syllabus, archived public reproduction (secondary)**. Exact Topic 4 wording independently cross-checked; **not an official primary source** [official source]

**S03 — NITI Aayog, SDG India Index 2023–24, July 2024**. Composite national score 66 to 71, distinction between index score and percentage [official source]

**S04 — UNDP India, SDG India Index 2023–24, 13 July 2024**. Scope of multidimensional and SDG localisation measures [official source]

**S05 — Telangana Government, Suryapet district, Indira Mahila Shakti scheme, 8 March 2025**. Policy announcement and emphasis on enterprise/wealth creation [official source]

**S06 — SERP Telangana, Indira Mahila Shakti portal**. Administrative statement of >63 lakh rural/urban SHG members; intended loan and enterprise objectives [official source]

**S07 — Telangana Government, Wanaparthy DRDA**. Rural SHG, VO and mandal-federation institutional architecture; administrative counts need date validation [official source]

**S08 — Telangana State Portal, June 2026 government press release**. Government-reported 553 SHG-owned buses and prospective expansion, **not audited enterprise profits** [official source]

**S09 — Ministry of Corporate Affairs, National CSR Exchange FAQ**. Section 135 thresholds, 2% calculation, Schedule VII, Board duties, committee exception, impact and portal limits [official source]

**S10 — Department of Economic Affairs, PPP India portal**. PPP appraisal and policy instruments [official source]

**S11 — Department of Economic Affairs, VGF scheme**. 2020 revamp, financial support for eligible PPPs and appraisal [official source]

**S12 — Department of Economic Affairs, state PPP project pipeline**. Telangana project-pipeline listing; pipeline is not completed projects [official source]

**S13 — Ministry of Home Affairs, Annual Report 2025–26**. FCRA 2010 compliance; 21 January 2025 notice on unauthorised receipt/use [official source]

**S14 — Reserve Bank of India, Master Circular on SHG–Bank Linkage Programme, 1 April 2024**. Formal bank linkage framework and rationale [official source]

**S15 — Telangana Government, Suryapet district MEPMA**. Urban SHG formation and banking arrangements; locality-specific administrative information [official source]

**S16 — Legislative Department, Constitution of India**. Articles 14, 15, 19, 21, 21A, Part IX, Part IX-A and 243ZD [official source]

**S17 — National Government Services Portal, RTI services, updated May 2026**. Right to Information Act 2005 access-to-records mechanism [official source]

**S18 — NABARD, State Focus Paper 2024–25**. Historical SHG–Bank Linkage Programme and livelihood emphasis [official source]

**S19 — Telangana Government, WE Hub**. State-supported entrepreneurship ecosystem and gender-specific constraints [official source]

**S20 — Telangana Government, SERP gender initiative**. SHG Social Action Committees and community-based gender support [official source]

**S21 — Department of Economic Affairs, VGF guidelines annexure**. Competitive bidding and appraisal controls [official source]

## Internally checked assertions

- The **CSR ₹500 crore / ₹1,000 crore / ₹5 crore** tests are alternatives and apply to the preceding financial year; the ordinary spending rule is **2% of average net profits**, not turnover [S09].
- CSR Exchange portal registration is not an independent endorsement of the organisation's quality [S09].
- **Indira Mahila Shakti** dates to 8 March 2025; the **553 buses** statement is a June 2026 government report, not a verified impact evaluation [S05, S08].
- VGF and PPP pipeline listings are not the same as completed projects [S11–S12].
- SERP is the rural SHG ecosystem and MEPMA the urban mission; the categories are not interchangeable [S06–S07, S15].
- The SDG composite figure is an index score; interpreting 71 as 71% of citizens attaining all SDGs would be wrong [S03].
- The 73rd and 74th Amendments create a constitutional framework; actual devolution is contingent on state implementation [S16].

## Open academic/provenance gaps — not approved

1. **Primary syllabus comparison:** TGPSC Notification 02/2024 was located on the official domain, but full PDF retrieval returned a gateway error. Exact subtopic wording is supported by a secondary reproduction, pending direct official-text audit.
2. **Official PYQs:** No official Paper III question was copied or attributed because an authenticated question paper plus precise question number was not verified. The 25 MCQs and six mains questions are original practice.
3. **Subject-expert review:** No independent constitutional-law, public-administration or Telangana-policy examiner has audited the chapter; legal and programme facts must be rechecked before declaring academic approval.
4. **Outcome evidence:** Government SHG figures, policy targets and bus announcements are not treated as causal impact estimates. Additional household-level or independent evaluation would be needed for effectiveness claims.
5. **Current law updates:** Before a later exam cycle, reconfirm CSR Rules, FCRA procedures, PPP scheme notifications and Telangana programme orders against the current primary text.

**Academic status: EXPANDED DRAFT; NOT APPROVED.**

## Cycle120 bounded primary-source audit — 31 October 2026

Five newly authored practice MCQs (Q26–Q30) and their 15 distractors were checked author-side against the following primary issuer materials. **These are not authenticated official TGPSC PYQs and not independently academically certified.** The other 25 MCQs and all six mains answers still need complete independent claim-level verification.

| Question | Key | Direct primary evidence | Distractor check |
|---|---|---|---|
| Q26 | A | MCA CSR FAQ / Companies Act Section 135(6): ongoing-project transfer within 30 days [S09] | B dividends wrong; C non-ongoing route; D indefinite retention prohibited |
| Q27 | B | MCA CSR FAQ / Section 135(5): non-ongoing amount to Schedule VII fund within six months [S09] | A general account wrong; C explanation not waiver; D ongoing account wrong |
| Q28 | C | MCA CSR FAQ / Section 135(9): Board performs committee functions where required CSR spend <= ₹50 lakh [S09] | A/B no expenditure or reporting exemption; D NGO not statutory approver |
| Q29 | D | DEA VGF 2020 revamp social-sector Sub-scheme 1: up to 30% central + 30% eligible sponsor [S11] | A not universal; B private bidder not approver; C sponsor support permitted |
| Q30 | A | RBI 1 April 2024 SHG–Bank Linkage Master Circular: mature SHG lending may exceed 4x savings at bank discretion [S14] | B false cap; C loans not grants; D no unconditional credit |

Primary source URLs: MCA https://www.csrxchange.gov.in/Frontend/faq ; DEA https://dea.gov.in/index.php/viability-gap-funding-vgf-scheme ; RBI https://systemhealth.rbi.org.in/Scripts/BS_ViewMasCirculardetails.aspx_id%3D12649%281%29.html .

**Unresolved R1–R8:** Commission-hosted syllabus PDF direct authentication, complete independent 30-key/90-distractor audit, all six mains claim-level checks, independent review of diagrams and Telangana current-law details, full browser/screen-reader accessibility, and named subject-expert review. R9 NOT_STARTED. Academic approvals ZERO.